

July 2024

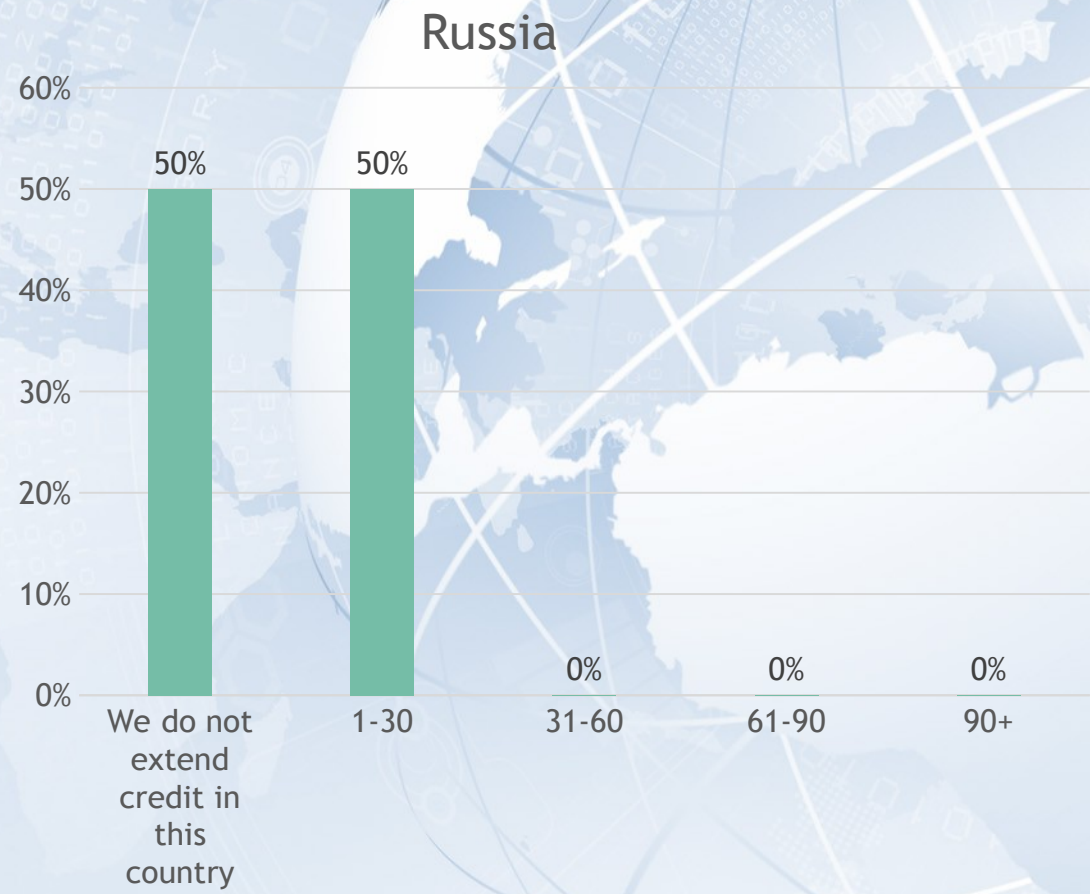
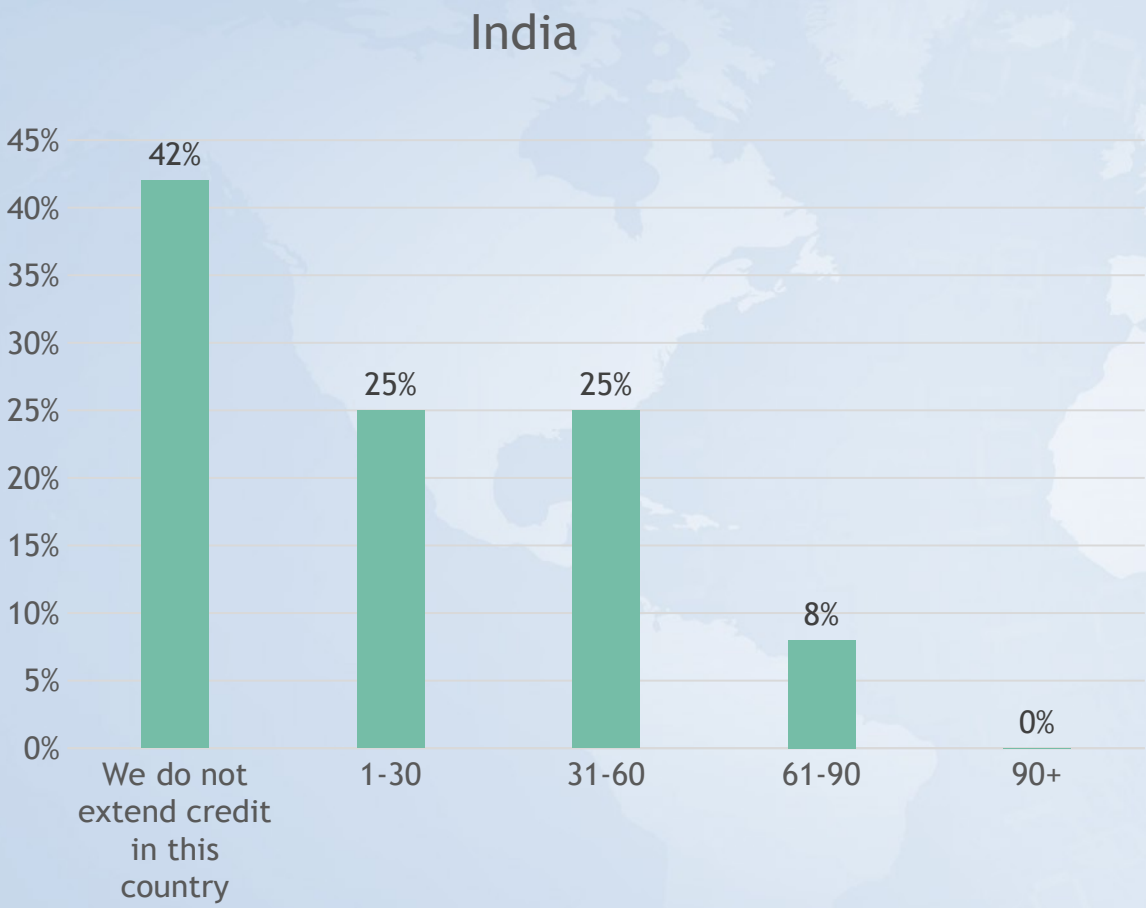
FCIB Credit & Collections Survey

India, Russia, Ukraine, Venezuela

Are your sales primarily to new or existing customers?

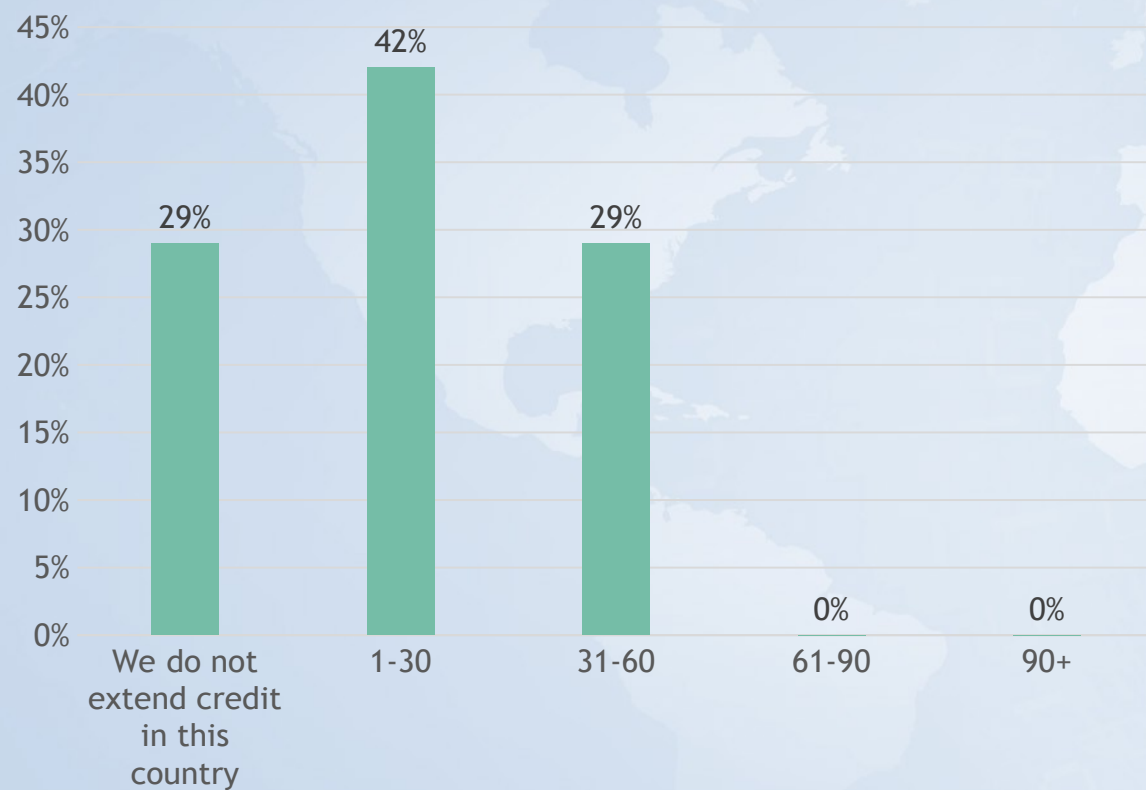


On average, what payment terms are you granting?

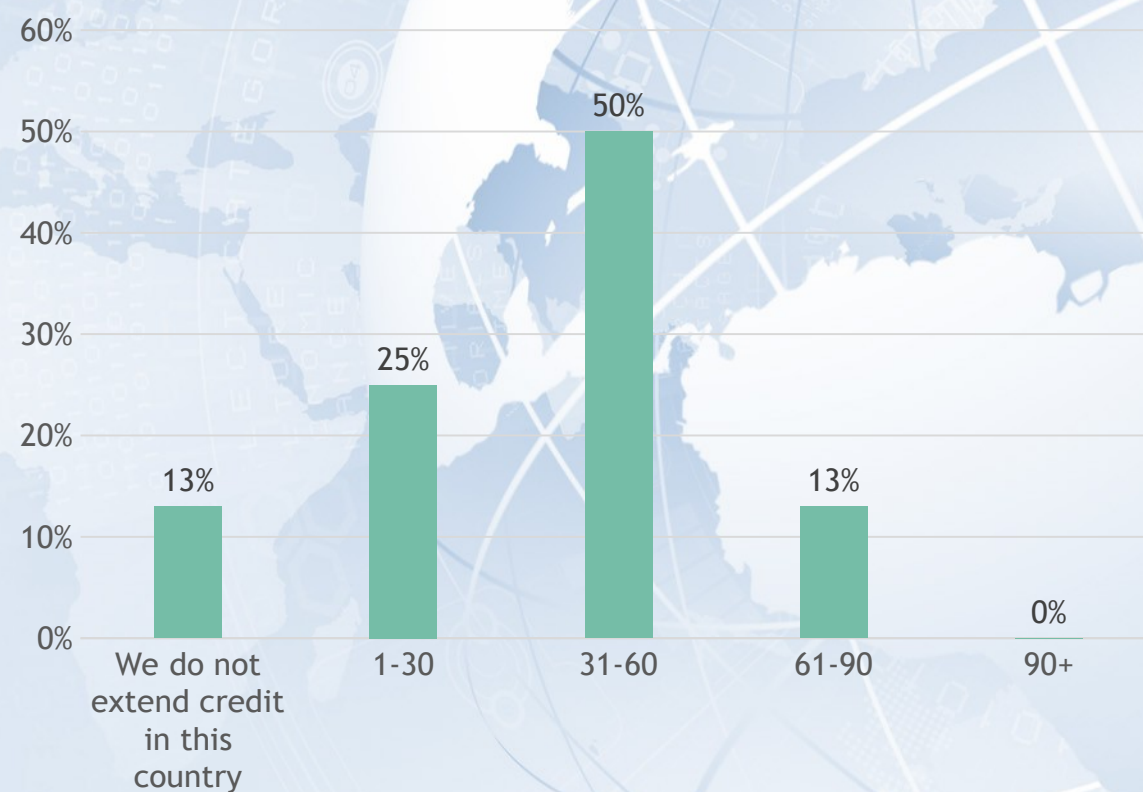


On average, what payment terms are you granting?

Ukraine



Venezuela



What is the average number of days beyond terms in these countries?

India

17

Russia

8

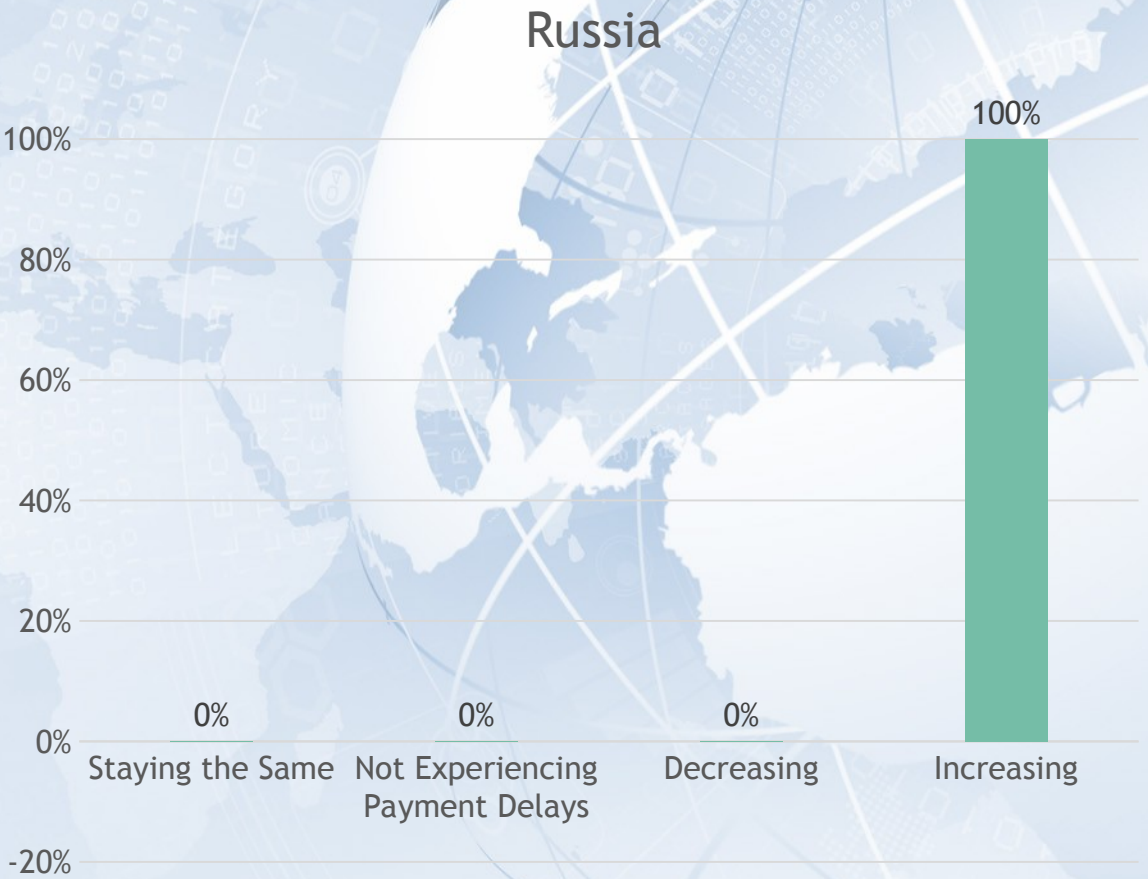
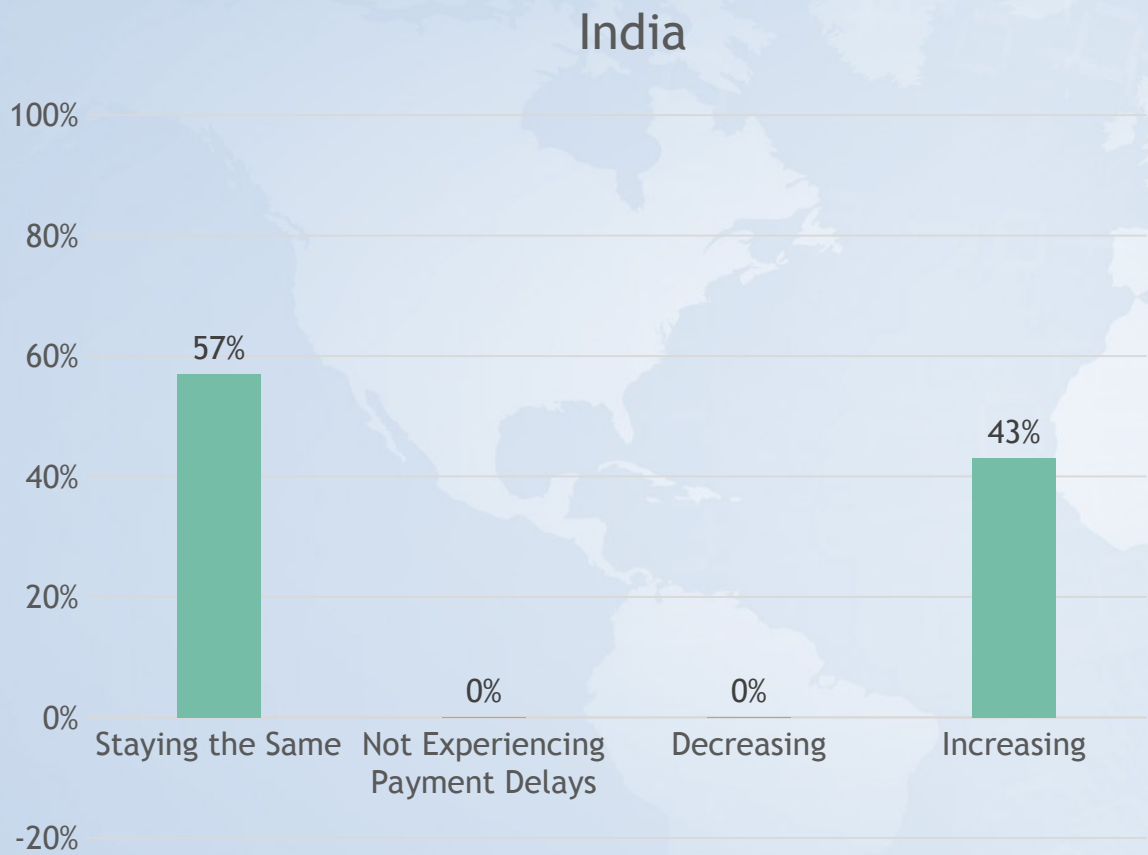
Ukraine

22

Venezuela

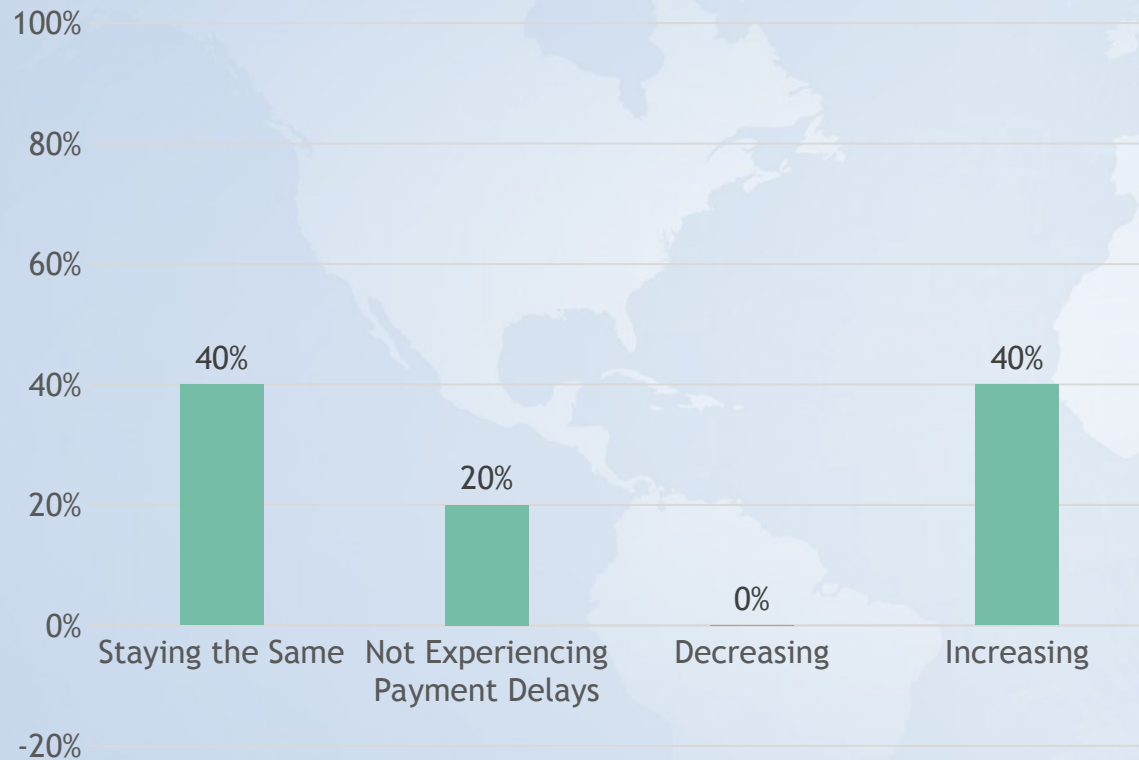
40

Are payment delays increasing, decreasing, or staying the same?

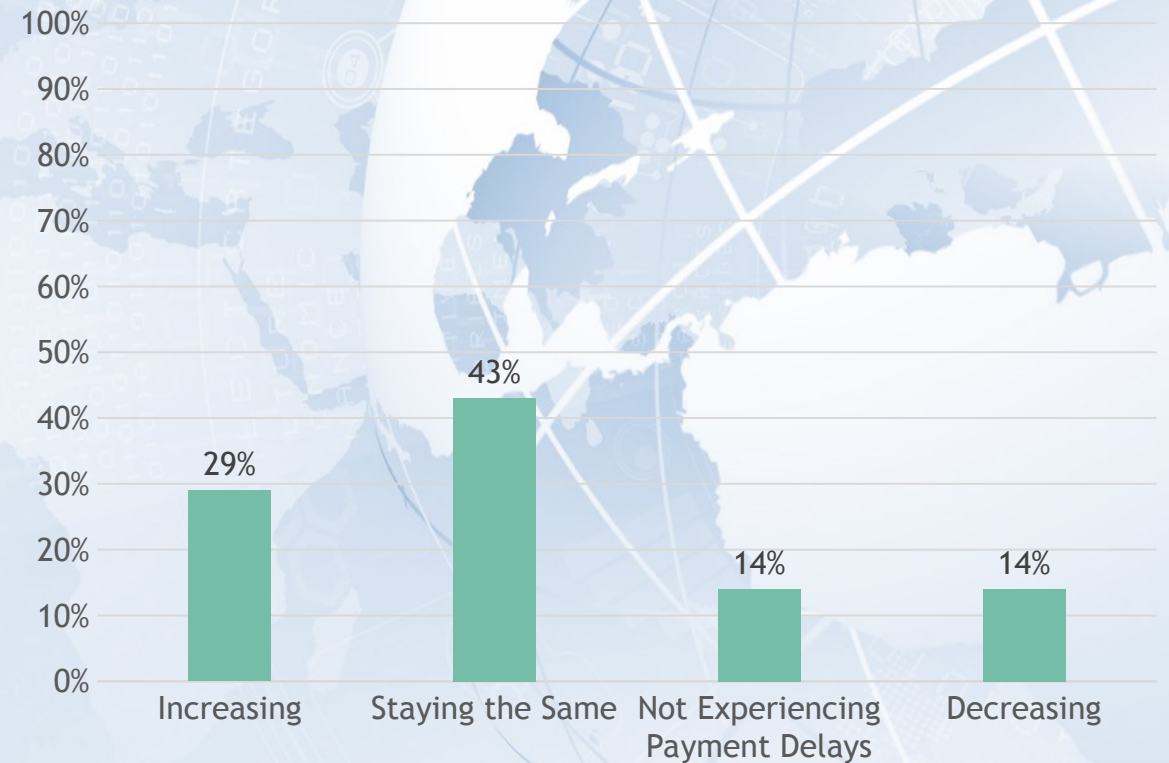


Are payment delays increasing, decreasing, or staying the same?

Ukraine

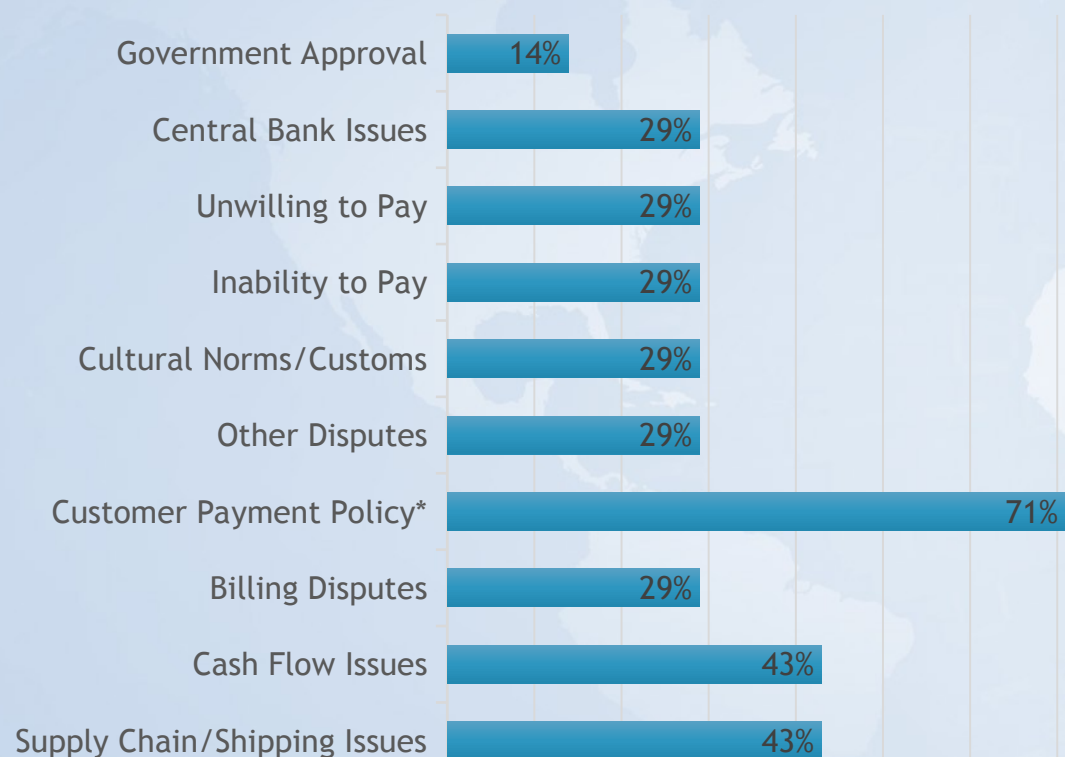


Venezuela

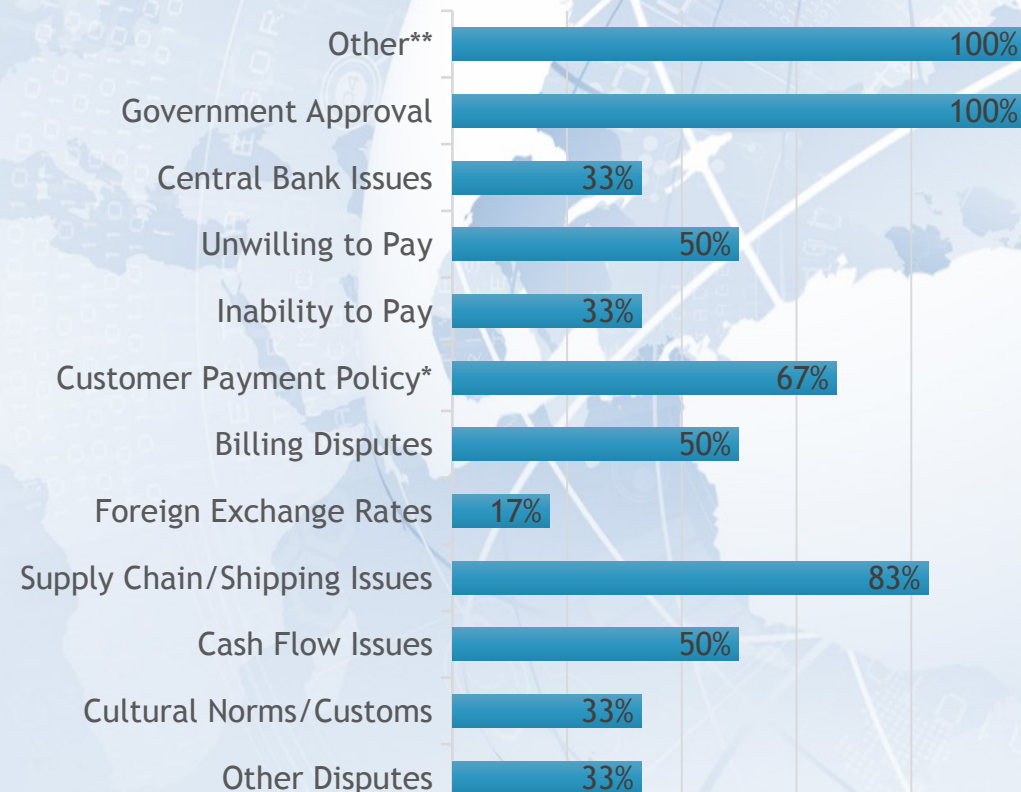


The most common causes of payment delays

India



Russia

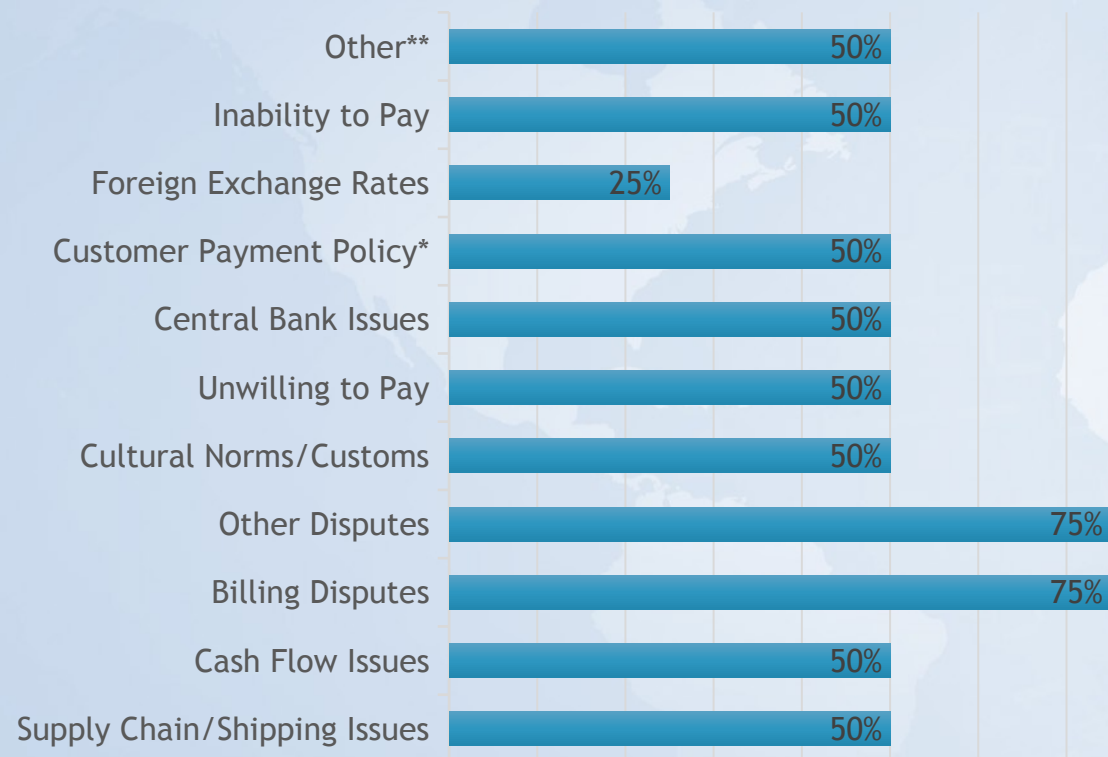


*(i.e. customer only pays on a set day of the month)

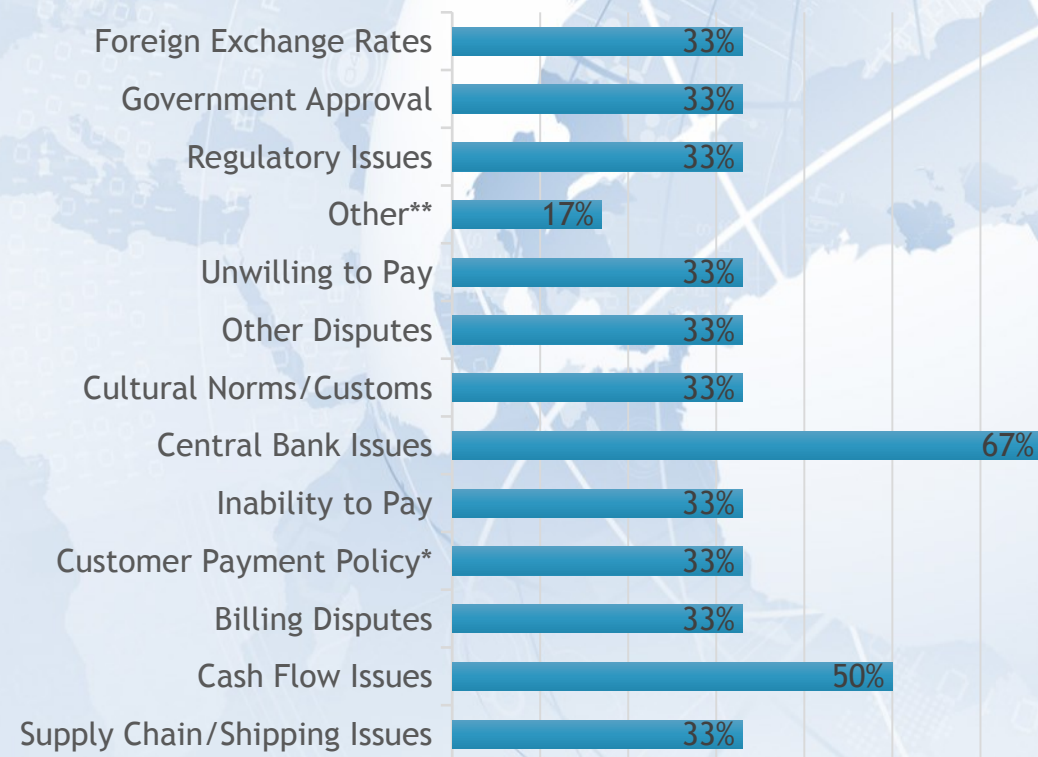
** (Russian invasion of Ukraine)

The most common causes of payment delays

Ukraine



Venezuela

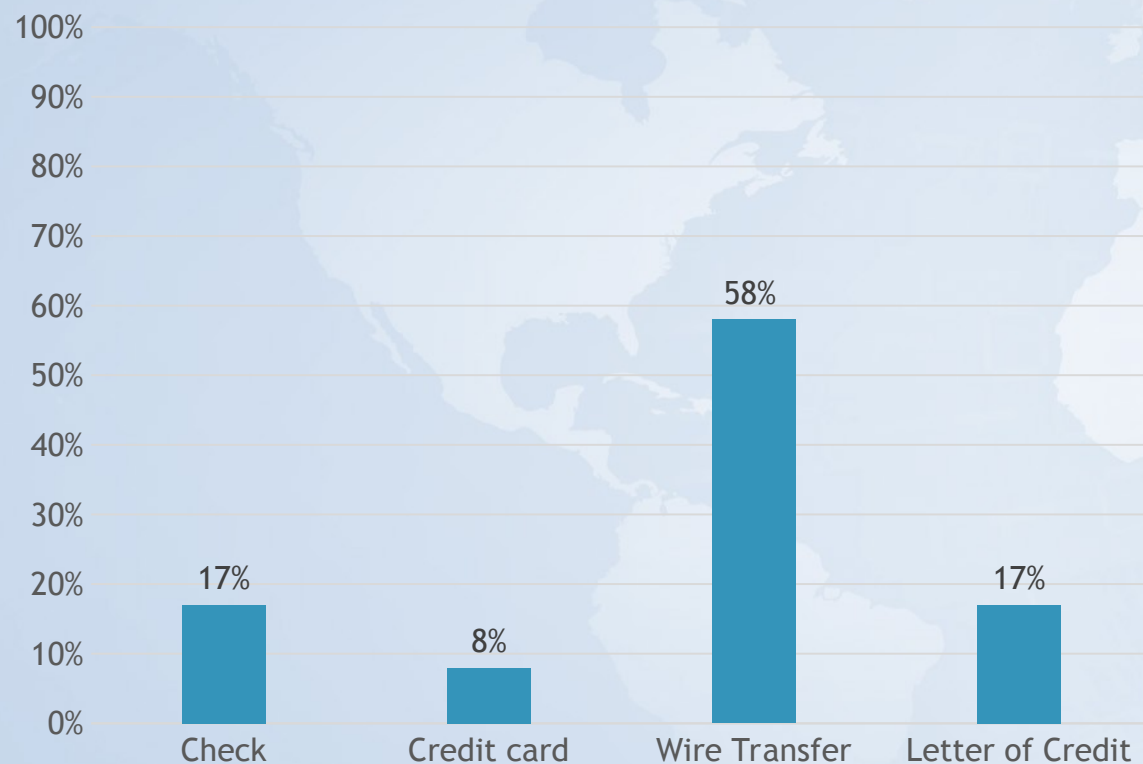


** (Russian invasion of Ukraine, corrupt elections and civil revolt)

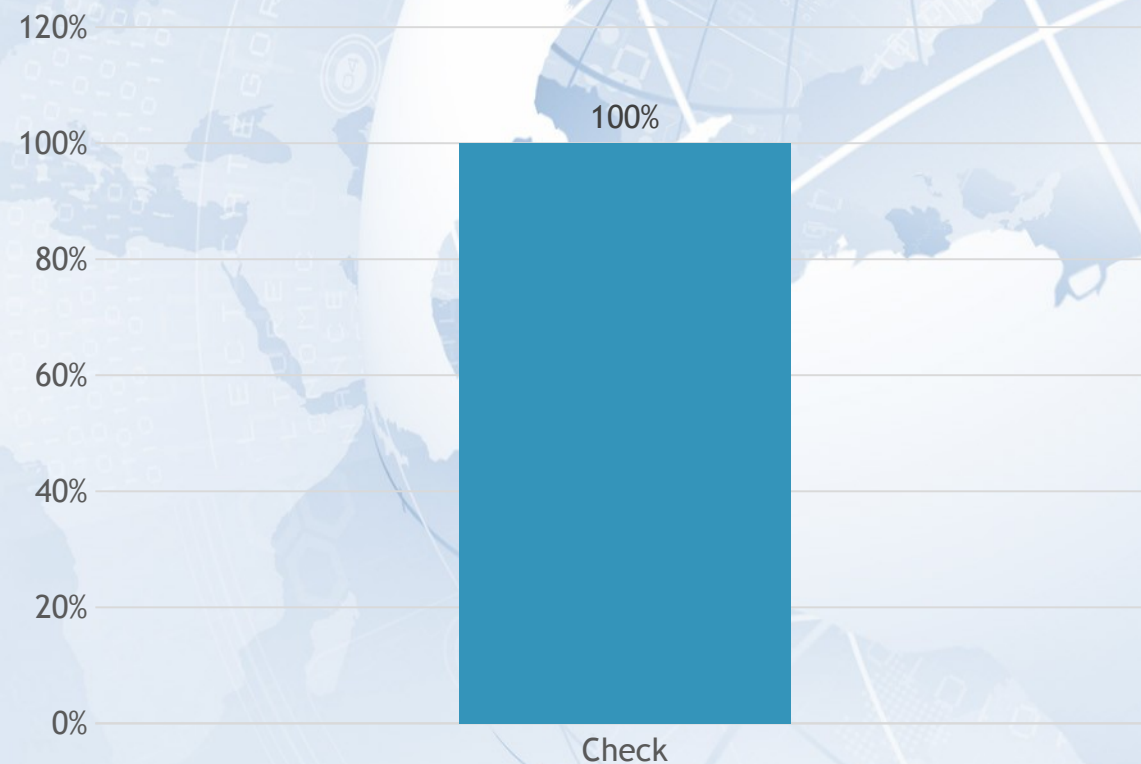
* (i.e. customer only pays on a set day of the month)

Methods used to secure payment

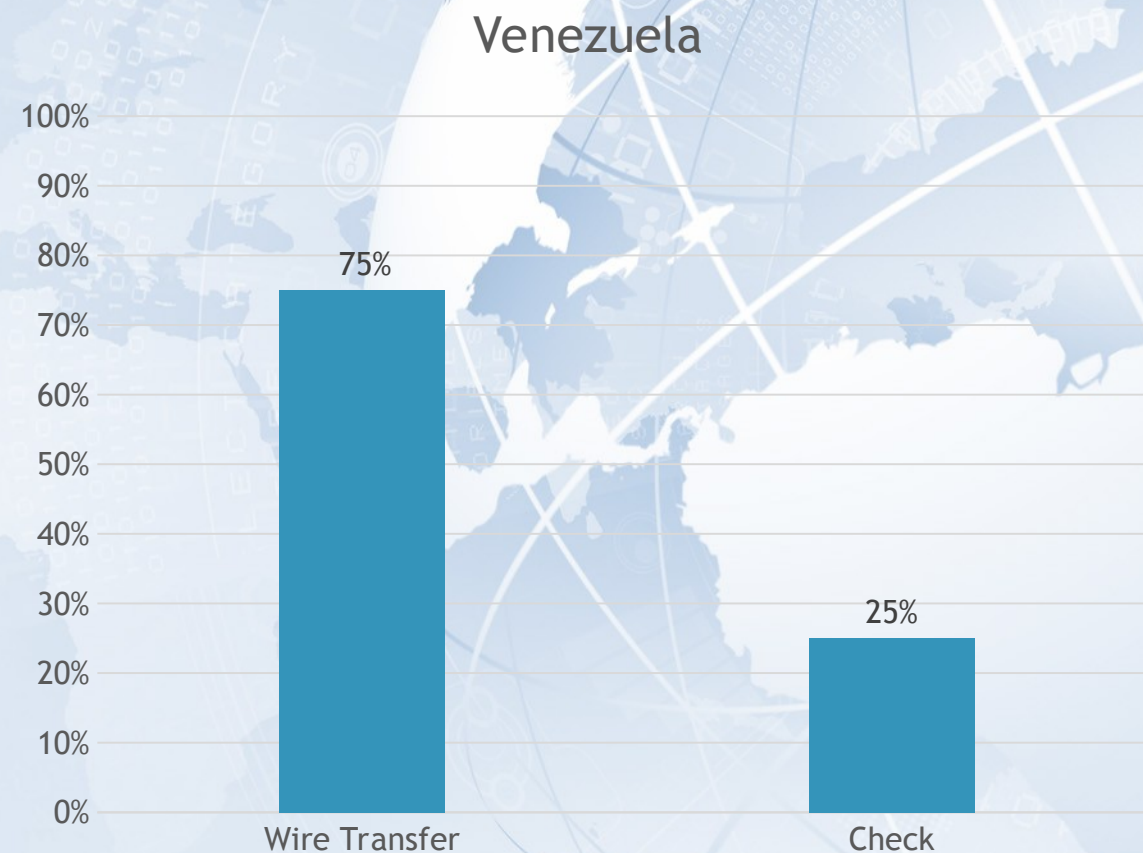
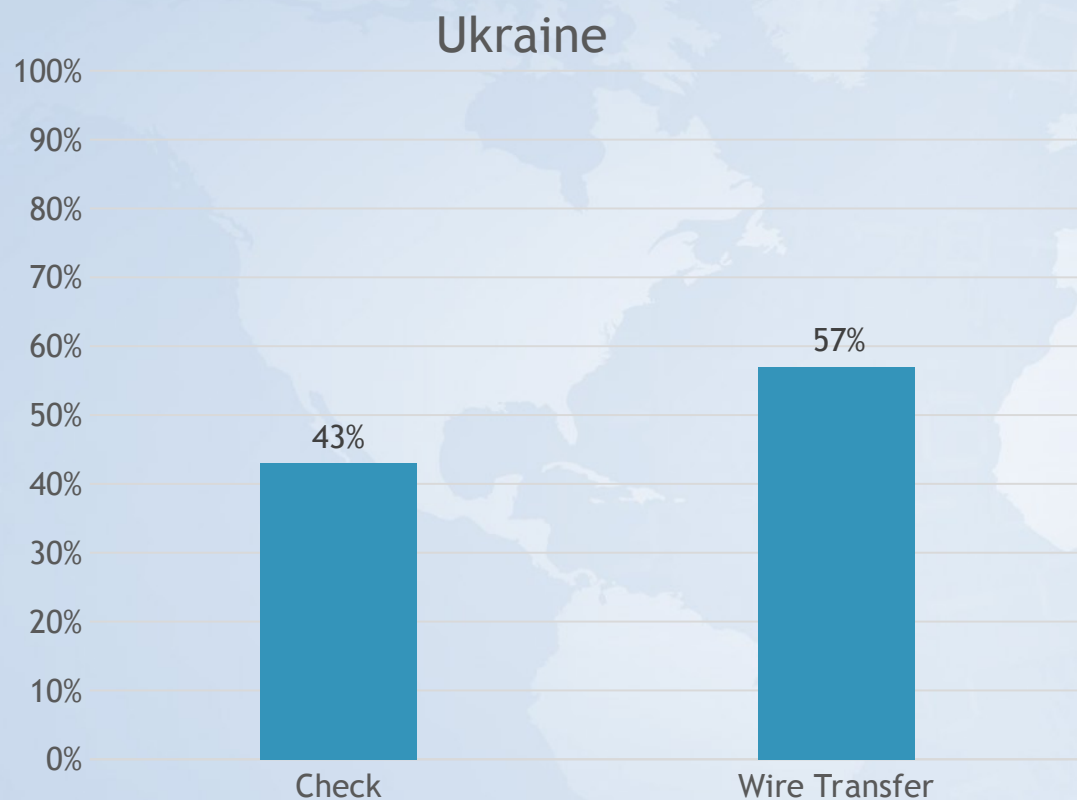
India



Russia



Methods used to secure payment



Insights from Credit Professionals

India

- “It's a tough country to collect from, and civil actions are difficult and lengthy. Maintain strong personal relationships and very clear documentation. Use credit insurance when pay-in-advance is not available.”
- “Keep a close eye on these accounts based on experience payment delays.”
- “Make sure you have signed contracts (executed on both sides) and handle disputes timely.”
- “Expect disputes if payment is not received in advance. Our experience is to have downgrades of materials and incomplete payments when terms extended.”

Ukraine

- “We stopped selling, as we were not getting payments in.”
- “Credit scoring & due diligence is becoming more and more important now with so many major customers failing to commit to their payments due to current situation.”

Venezuela

- “Inherited a customer in this country. Would only have sold to them using cash in advance but the company we bought gave them open terms.”

Insights from Credit Professionals

Non-country-specific Advice from the survey.

- Know your real customer, not the Trade/Banner name but the True Legal Entity (5 C's of Credit).
- Start early building a relationship with your customer, and include your salesperson - you'll make a team and teams work together.
- Follow up with the customer's Procurement Dept and Finance Dept as many times as necessary.
- Obtain updated credit information Look for owner and addresses verification, as changes are often not communicated by the customer. Know all you can about the customer. Pull a credit report for payment history and legal status and name verification.
- With continued global inflation, war in Ukraine and high interest, you need to know your true legal customer to prevent fraud and keep your A/R secured.
- It is important to know customer's payment process to avoid misunderstandings or delays due to administrative issues.
- Obtain financial statements on your customers and backstop sales with credit insurance.
- Ensure payment language is on the wire payments received.